

Microsoft Corporation - Income Tax Returns for the Last Three Fiscal Years (2023-2025)

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1. Corporate Information and Tax Identification

Microsoft Corporation (the "Company"), incorporated in the State of Washington, USA, in 1975, is a global leader in technology solutions, software development, cloud computing, and artificial intelligence. The Company's registered address is One Microsoft Way, Redmond, WA 98052, USA.

For tax purposes, the Company is identified by its Permanent Account Number (PAN): AAACM1234A. The Company is not registered under the Goods and Services Tax (GST) regime in the USA, as GSTIN is marked "N/A". The Corporate Identification Number (CIN) is C065237-WA.

The Company's financial year aligns with the U.S. federal tax year, ending on June 30. The income tax returns for the fiscal years 2023, 2024, and 2025 were filed in compliance with the Internal Revenue Service (IRS) regulations and applicable state tax laws.

Fiscal Year	Tax Year End	IRS Form Filed	Filing Date
2023	June 30, 2023	Form 1120 (U.S. Corporation Income Tax Return)	September 15, 2023
2024	June 30, 2024	Form 1120	September 16, 2024
2025	June 30, 2025	Form 1120	September 15, 2025

2. Consolidated Financial Performance Overview

Microsoft Corporation's financial performance over the last three fiscal years reflects consistent growth in revenue, profitability, and net worth. The Company's diversified business segments, including Productivity and Business Processes, Intelligent Cloud, and More Personal Computing, have driven robust financial results.

The following table summarizes the Company's key financial metrics for the fiscal years 2023, 2024, and 2025, as reported in the income tax returns and aligned with prior disclosures in Company_Profile.pdf and Asset_Details.pdf.

Financial Metric (USD in Millions)	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
Total Revenue	211,915	227,580	244,990
Cost of Revenue	69,500	74,600	80,300
Gross Profit	142,415	152,980	164,690
Operating Expenses	52,100	55,200	58,700
Operating Income (EBIT)	90,315	97,780	105,990
EBITDA	90,320	97,800	106,000
Net Income	72,360	78,500	85,500
Net Worth	166,542	178,200	191,300

3. Taxable Income and Deductions

The Company's taxable income is calculated after adjusting gross income for allowable deductions, credits, and exemptions under U.S. tax laws. The following table provides a breakdown of taxable income and key deductions for the fiscal years 2023, 2024, and 2025.

Deductions include research and development (R&D) expenses, depreciation and amortization, employee compensation, and other operational costs. The Company has consistently invested in R&D, which qualifies for the R&D tax credit under Section 41 of the Internal Revenue Code.

Taxable Income Component (USD in Millions)	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
Gross Income	211,915	227,580	244,990
Less: Cost of Revenue	69,500	74,600	80,300
Gross Profit	142,415	152,980	164,690
Less: Operating Expenses	52,100	55,200	58,700
Operating Income (EBIT)	90,315	97,780	105,990
Add: Other Income (e.g., interest, dividends)	1,200	1,300	1,400
Less: Deductions (R&D, Depreciation, etc.)	20,155	21,580	23,190
Taxable Income	71,360	77,500	84,200

4. Tax Liabilities and Payments

Microsoft Corporation's federal and state tax liabilities are calculated based on the applicable tax rates for each fiscal year. The U.S. federal corporate tax rate is 21%, while state tax rates vary based on the Company's operational jurisdictions. The following table summarizes the Company's tax liabilities and payments for the fiscal years 2023, 2024, and 2025.

The Company has made timely tax payments and complied with all IRS and state tax filing requirements. No penalties or interest charges were incurred during these fiscal years.

Tax Liability (USD in Millions)	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
Federal Tax Liability (21%)	15,000	16,300	17,700
State Tax Liability (Avg. 5%)	3,570	3,880	4,210
Total Tax Liability	18,570	20,180	21,910
Tax Payments Made	18,570	20,180	21,910
Tax Refunds/ Credits Applied	0	0	0
Net Tax Due/ (Refund)	0	0	0

5. Tax Credits and Incentives

Microsoft Corporation has availed itself of various tax credits and incentives under U.S. federal and state tax laws. The most significant credit is the R&D tax credit, which offsets a portion of the Company's federal tax liability. Additional credits include those for renewable energy investments and workforce development programs.

The following table outlines the tax credits claimed by the Company for the fiscal years 2023, 2024, and 2025.

Tax Credit (USD in Millions)	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
R&D Tax Credit (Section 41)	2,100	2,300	2,500
Renewable Energy Credit	500	550	600
Workforce Development Credit	200	220	240
Other Credits	100	110	120

Tax Credit (USD in Millions)	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
Total Tax Credits Claimed	2,900	3,180	3,460

6. Compliance and Disclosures

Microsoft Corporation confirms compliance with all U.S. federal and state tax laws for the fiscal years 2023, 2024, and 2025. The Company's tax returns were prepared in accordance with the Generally Accepted Accounting Principles (GAAP) and IRS regulations.

The following disclosures are made in accordance with IRS requirements:

1. The Company has no undisclosed foreign bank accounts or assets.
2. All related-party transactions have been conducted at arm's length and disclosed in the tax returns.
3. The Company has not engaged in any tax avoidance schemes or transactions that lack economic substance.
4. The Company's transfer pricing policies comply with IRS Section 482 and OECD guidelines.
5. No material tax positions have been taken that are contrary to IRS guidance or judicial precedent.

Compliance Item	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
IRS Audit Status	No Audit	No Audit	No Audit
State Tax Audits	No Audit	No Audit	No Audit
Foreign Tax Compliance	N/A (U.S. Only)	N/A (U.S. Only)	N/A (U.S. Only)
Transfer Pricing Documentation	Filed	Filed	Filed

7. Authorizations and Certifications

The income tax returns for Microsoft Corporation for the fiscal years 2023, 2024, and 2025 were prepared by the Company's internal tax department and reviewed by external auditors. The returns were authorized and certified by the following officers of the Company:

1. **Satya Nadella**, Chief Executive Officer
2. **Amy Hood**, Chief Financial Officer
3. **Brad Smith**, President and Vice Chair

The undersigned certify that the information provided in these tax returns is true, accurate, and complete to the best of their knowledge and belief, and that the Company has complied with all applicable tax laws and regulations.

Name	Title	Signature Date (Fiscal Year 2025)
Satya Nadella	Chief Executive Officer	July 15, 2026
Amy Hood	Chief Financial Officer	July 15, 2026
Brad Smith	President and Vice Chair	July 15, 2026

8. Contact Information for Tax Matters

For any inquiries related to the income tax returns or tax compliance of Microsoft Corporation, please contact the Company's tax department using the following details:

****Microsoft Corporation Tax Department****

One Microsoft Way, Redmond, WA 98052, USA

Email: taxdepartment@microsoft.com

Phone: +1 (425) 882-8080

The Company's authorized tax representative for IRS communications is:

****Deloitte Tax LLP****

920 5th Avenue, Suite 3300, Seattle, WA 98104, USA

Contact: Johnathan Carter, Partner

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